STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service	**Case 19-G-0309**
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a Brooklyn Union of L.I. for Gas Service	**Case 19-G-0310**

Prepared Direct Testimony of

New York City Policy Panel

Susanne DesRoches
Elisa Velasquez
Jamie Torres-Springer

On Behalf of:

The City of New York

August 30, 2019

INTRODUCTION

Q. PLEASE STATE YOUR NAME, OCCUPATION AND BUSINESS ADDRESS.

A. Ms. DesRoches – My name is Susanne DesRoches. I am the Deputy Director – Infrastructure and Energy Policy for the New York City Mayor's Office of Sustainability, or MOS, and the New York City Mayor's Office of Resiliency. My business address is 253 Broadway, 14th floor, New York, New York.

Ms. Elisa Velazquez - I have served as Assistant Commissioner and Agency Chief Contracting Officer for the New York City Department of Environmental Protection, or DEP, since 2016.

Mr. Torres-Springer – My name is Jamie Torres-Springer. I am the First Deputy Commissioner of the New York City Department of Design and Construction, or DDC. My business address is 30-30 Thomson Avenue, Long Island City, New York.

Q. ON WHOSE BEHALF ARE YOU SUBMITTING THIS TESTIMONY?

A. The City of New York, or City.

Q. PLEASE DESCRIBE YOUR EDUCATIONAL BACKGROUND.

A. Ms. DesRoches – I received a Bachelor's Degree in Industrial Design from the Pratt Institute in 1995 and a Master in Public Administration Degree in Environmental Science and Policy from Columbia University School of International & Public Affairs in 2008.

Ms. Velasquez – I received a Bachelor of Arts Degree in Sociology from Fordham University in 1989 and a Juris Doctor Degree from New York Law School in 1992.

Mr. Torres-Springer – I received a Bachelor of Arts Degree from McGill University in 1988 and a Master's Degree in Public Policy from Harvard University in 2005.

Q. PLEASE DESCRIBE YOUR PROFESSIONAL EXPERIENCE AND CURRENT RESPONSIBILITIES.

A. Ms. DesRoches – I have been in my current position since September, 2015. In this role, I am responsible for the City's energy policy and regulatory affairs at the local, state, and federal level and direct the City's efforts to adapt regional infrastructure systems to climate change as outlined in the City's strategic plan, *One New York: The Plan for a Strong and Just City*. I am responsible for the City's analysis and advocacy on a wide range of energy regulatory and legislative matters before the state and federal government. I oversee a team responsible for implementing a cohesive program of resiliency initiatives across several key areas, including energy, telecommunications, water/sewer/waste, and transportation. Prior to joining the City, I served as the Chief for Resilience and Sustainability in the Engineering Department of the Port Authority of New York & New Jersey, where I was charged with incorporating climate resiliency and sustainability into all agency capital projects.

Ms. Velasquez – I am responsible for the procurement activities of the Agency, including competitive sealed bids; requests for proposals; small purchases and purchases; consultant contract negotiations; contract payments; vendor

performance evaluations; establishing MWBE goals and opportunities; and State Prevailing Wage Laws compliance. I also run the fiscal and accounting sections at DEP.

Mr. Torres-Springer – I have served as First Deputy Commissioner of DDC since 2018 and am responsible for a range of project delivery, agency administrative, and intergovernmental relations matters. I helped to lead the agency to its *Strategic Blueprint for Construction Excellence*, released in January of this year, which identifies a series of critical measures to improve on the timing and cost effectiveness of the City's infrastructure and public buildings projects, including among them a number of strategies to improve coordination between DDC and regulated public utilities.

Q. HAVE YOU EVER TESTIFIED BEFORE ANY AGENCY OR COURT OR IN ANY OTHER VENUE ON THE TOPICS YOU ADDRESS IN THIS TESTIMONY?

A. Ms. DesRoches – I have testified before the Public Service Commission in prior rate cases and in the retail access proceeding in Case 12-M-0476. Most recently, I testified in Cases 19-E-0065 and 19-G-0066, which are pending electric and gas rate cases involving Consolidated Edison Company of New York, Inc. ("Con Edison"). Additionally, I have testified before the New York City Council on the City's sustainability initiatives, energy planning, and policy issues. Finally, I speak frequently before international, national, and local audiences on the City's long-

term energy planning and regulatory affairs, infrastructure resiliency, and broader climate change planning.

Ms. Velasquez – I have not testified previously on these issues but have testified as both a fact and expert witness at several vendor criminal trials and grand juries.

Mr. Torres-Springer – I also testified in Cases 19-E-0065 and 19-G-0066, the pending electric and gas rate cases involving Con Edison.

PURPOSE OF TESTIMONY

Q. WHAT IS THE PURPOSE OF YOUR TESTIMONY?

A. The purpose of this testimony is to discuss the City's energy policies, their correlation to State energy policies, and their relationship to these rate cases; the need for Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and Keyspan Gas East Corp. d/b/a Brooklyn Union of L.I. ("KEDLI") (together, "Companies") to develop plans, actions, and activities to be designed to advance the City's and State's policies; the need for balance between the interests of customers and shareholders and more generally the magnitude of the KEDNY and KEDLI rate requests; and the need for better coordination and communication between the Companies and City agencies. We also provide a summary of the City's other pieces of testimony.

Q. ARE YOU SPONSORING ANY EXHIBITS WITH YOUR TESTIMONY?

A. Yes. We offer Exhibit__(NYCPP-1), which is a compilation of the discovery responses from the Companies that we relied upon in preparing our testimony, some of which we expressly reference; Exhibit__(NYCPP-2), which contains Volume 7,

entitled "A Livable Climate," or A Livable Climate, of *OneNYC 2050: Building A Strong And Fair City*, a report detailing Mayor de Blasio's updated strategic plan to combat global warming and achieve environmental sustainability, economic equality, and social justice; Exhibit__(NYCPP-3), which contains a copy of the *New York City's Roadmap to 80x50*, or Roadmap to 80x50, a report prepared by MOS and issued in October 2016 to leverage scientific analysis and greenhouse gas emissions modeling to identify the pathways and processes necessary to achieve an 80 percent reduction in greenhouse gas emissions by 2050, as compared to 2005 levels; and Exhibit__(NYCPP-4), which is a copy of the *Citywide Privacy Protection Policies and Protocols* that were adopted earlier this year.

Q. PLEASE SUMMARIZE YOUR TESTIMONY.

A. One of the primary objectives of both the City and State is significantly reducing greenhouse gas emissions through a multi-faceted approach that includes increasing reliance on demand management, renewable gas resources, and expanding energy efficiency programs. At the same time, both the City and State are concerned about maintaining a reliable and resilient gas system, and keeping gas rates affordable, especially for low income and vulnerable residents.

Initially, we discuss the public policy considerations affecting the requested rate increases. To help meet the City's and State's clean energy transition goals while also reducing the need for gas capital expenditures to accommodate growing demand, ambitious demand response and energy efficiency efforts are needed, as discussed in the Public Service Commission's Order issued on December 13, 2018

in Case 18-M-0084, or Energy Efficiency Order. These more ambitious efforts should be included as part of the Companies' core planning activities.

Second, we discuss our concerns with the overall magnitude of the capital expenditures proposed and point to the need to balance the Companies' requests for rate increases and shareholder incentives against costs to consumers. In these rate cases, KEDNY and KEDLI are seeking very substantial increases in their gas revenue requirements. The Companies also are seeking multiple shareholder incentives, some of which would reward them for actions expected of any prudent utility company. The shareholder incentives place incremental burdens on customers over and above the impacts of the revenue requirement increases. In this section, we also address the need to provide low income customers with additional protection from rate increases that they cannot afford to pay.

Third, we address the need to ensure that gas service in New York City remains highly reliable and resilient, while, at the same time, minimizing the potential for excessive stranded costs. In this section, we highlight flaws in the Companies' planning processes that have resulted in a gas moratorium affecting much of their service territories and recommend several actions by the Companies, including the need to develop alternatives to the Northeast Supply Enhancement ("NESE") pipeline, which the Companies continue to simply assume will be constructed. We also highlight problems associated with the Companies' implementation of their gas moratorium.

Fourth, we advocate for increased energy efficiency and demand response measures to be incorporated into system planning, particularly in light of the uncertainty surrounding the NESE pipeline project.

Finally, we request that the Commission require that the Companies institute better, more formalized, high-level communications between them and City agencies, which should result in reduced capital and O&M spending by the Companies.

ENERGY PUBLIC POLICY CONSIDERATIONS

Q. PLEASE PROVIDE A BRIEF DESCRIPTION OF THE CITY'S ENERGY POLICIES.

A. Effective energy policy plays a critical role in driving successful and equitable economic development, public health, sustainability, and resiliency. In that regard, the City actively seeks to balance objectives that include affordable electric and gas rates; a resilient and reliable utility system, especially for critical infrastructure and vulnerable populations; and supporting the transition of energy supply and distribution systems to realize deep greenhouse gas emissions reductions and related sustainability goals. This holistic approach is captured in the Administration's OneNYC strategic plan, which was most recently updated in April, 2019. Exhibits__(NYCPP-2) and __(NYCPP-3) provide details from the OneNYC plan that are pertinent to our testimony.

With respect to gas rates, the City is committed to identifying pathways to reduce the energy cost burden (defined as the sum of electric, gas and/or fuel oil

expenditures relative to pre-tax income) for low income families. The City applauds the Commission's goal of capping energy cost burden for New York State families making less than 200 percent of the Federal Poverty Level at six percent and looks forward to working with the Department of Public Service, other State entities, and stakeholders to achieve this goal. In addition to reducing the economic burdens of New York City and New York State's most vulnerable residents, affordable gas rates are critical to economic development and the continued prosperity of New York City, and in turn, New York State.

Q. WHAT HAS THE CITY DONE TO ADDRESS CLIMATE CHANGE?

A. The City has made a series of significant commitments with respect to deep decarbonization and sustainability that drive our energy policy goals, of which energy efficiency and increasing the deployment of renewables are two key pillars. The City has made unprecedented commitments to achieve its objectives of creating a resilient and low-carbon energy supply, improving air quality, and achieving carbon neutrality by 2050, as set forth in *OneNYC 2050: Building a Strong and Fair City* ("OneNYC").[1] Last month, the New York City Council passed Intro 1253-c, which sets greenhouse gas emissions caps on large buildings, beginning in 2024.

Most recently, Mayor de Blasio announced New York City's Green New Deal, a plan to commit $14 billion that will directly confront income inequality,

[1] *OneNYC 2050: Building a Strong and Fair City,* Vol. 7: "A Livable Climate" (issued April 2019) at 10, available at http://onenyc.cityofnewyork.us/strategies/a-livable-climate/.

create tens of thousands of new jobs, and fight climate change by seeking to further reduce greenhouse gas emissions by nearly 30 percent by 2030.

To better understand the cost, technical feasibility, and appropriate phasing of policies and strategies to meet our 2050 goals, the City is commencing a study on deep decarbonization in coordination with and jointly funded by Con Edison and National Grid that will conclude by spring 2020. The study also will examine potential stranded asset issues resulting from deep decarbonization – particularly for gas infrastructure – and identify steps that can be taken to mitigate the risk of significant stranded assets and stranded costs. We anticipate that the study will inform future regulatory and policy actions.

Further, the City is committed to protecting New York City from the impacts of climate change, focusing on climate resiliency for critical infrastructure and vulnerable populations. To ensure future capital investments that promote resiliency, the City has recently published Climate Resiliency Design Guidelines for use by all City agencies.[2] It has worked with KEDNY and KEDLI for a number of years on issues related to climate change and storm hardening and looks forward to continuing to do so.

Q. WHAT HAS THE CITY DONE TO PROMOTE AND ENCOURAGE ENERGY EFFICIENCY INVESTMENTS?

[2] *Climate Resiliency Design Guidelines – Version* 3.0 (issued March 2019), https://www1.nyc.gov/assets/orr/pdf/NYC_Climate_Resiliency_Design_Guidelines_v3-0.pdf.

A. On the energy efficiency side, the City's *Greener, Greater Buildings Plan* requires large buildings to undertake approaches to energy efficiency, including benchmarking, auditing, retro-commissioning, and lighting upgrades. In 2015, the City released *One City: Built to Last*, which outlined a 10-year action plan to improve the energy efficiency of large buildings by 2025. The City has since launched a series of programs to facilitate implementation of these goals. For example, in 2015, the City launched the NYC Retrofit Accelerator, which provides coordinated outreach and assistance to private building owners and decision-makers so as to accelerate efficiency retrofits and clean energy investments using Local Law 87 data. The NYC Retrofit Accelerator has been very positively received by developers, building owners, contractors, and many others.

In 2019, the City tripled its funding for the second phase of the NYC Retrofit Accelerator, which will be expanded to continue to help building owners implement energy efficiency retrofits and invest in clean energy. The expanded program will reach over 5,000 buildings and hundreds of stakeholders through its targeted outreach campaign for new and existing buildings, on-site trainings, and leadership recognition platform.

The City has led by example by making energy efficiency improvements in, and adding clean distributed energy resources to, municipal buildings. As a result, the City has achieved a 30 percent reduction in greenhouse gas emissions relative to fiscal year 2006 across its own operations and buildings. The City also has

strengthened its building codes and continues to make investments and take actions to make New York City more sustainable and resilient.

Q. PLEASE BRIEFLY DISCUSS THE CITY'S ONENYC INITIATIVE.

A. OneNYC 2050 is Mayor de Blasio's plan for ensuring the future health, welfare and prosperity of New York City. The latest iteration to the plan, *OneNYC 2050: Building A Strong And Fair City*, released on Earth Day 2019, provides an updated and detailed strategy for achieving these goals. It reflects our core strengths as a city – our growing and diverse population, strong economy, and global leadership – and the significant challenges we must address – growing unaffordability, economic insecurity, inequity, and climate change. It imagines a New York City in 2050 that has a vibrant democracy, an inclusive economy, thriving neighborhoods, healthy lives, equity and excellence in education, a livable climate, efficient mobility, and modern infrastructure.

The OneNYC plan sets forth eight goals and 30 initiatives that collectively establish bold targets for a strong, sustainable, and resilient New York City. It includes a plan for achieving carbon neutrality and 100 percent clean electricity, growing the climate economy to create green job opportunities for thousands of New Yorkers, and strengthening communities, buildings, infrastructure, and waterfronts to be more resilient.

Q. WHAT IS THE RELATIONSHIP BETWEEN THE CITY'S POLICIES AND GOALS AND THE STATE'S ENERGY-RELATED POLICIES AND GOALS?

A. The City's and the State's goals are very much in line with each other. Governor Cuomo announced a Statewide Green New Deal earlier this year that includes a commitment to relying on renewables for 70 percent of electricity consumption by 2030, and by 2040 statewide electric demand will generate zero emissions. Moreover, the Governor and the Public Service Commission have established short-term goals for penetration of electric vehicles and energy savings from the installation of heat pumps. Most recently, the State Legislature approved, and the Governor signed, the Climate Leadership and Community Protection Act, or CLCPA, which is sweeping legislation designed to dramatically reduce greenhouse gas emissions.

In sum, any efforts undertaken to achieve the City's goals also would help to achieve the State's goals, and vice-versa. Therefore, the Commission should consider the City's recommendations in these proceedings to be equally applicable to its advancement of the State's policy determinations as they are to advancement of the City's policies.

Q. WHAT SHOULD KEDNY AND KEDLI BE DOING TO ACHIEVE CITY AND STATE POLICY GOALS?

A. Achieving the City's and State's policy goals, reducing the reliance on fossil fuels, and encouraging customers to be more energy efficient will require a coordinated effort among government, the utilities, environmental and community groups, and other stakeholders. We commend the Companies' efforts to address policy goals through their focus on the Future of Heat and their increased spending on energy

efficiency measures. However, as set forth below and in the testimony of other City panels, much more needs to be done.

NEED FOR FAIRNESS AND BALANCED CONSIDERATION OF CUSTOMER AND SHAREHOLDER INTERESTS

Q. IN REVIEWING THE COMPANIES' RATE FILING, HOW SHOULD THE COMMISSION BALANCE THE INTERESTS OF CUSTOMERS AND SHAREHOLDERS?

A. The Companies initially were seeking annual revenue requirement increases of $236.9 million and $49.4 million, respectively. Based on the Corrections and Update Filing ("C&U Filing"), the requested annual revenue requirements are $195.6 million and $61.0 million for KEDNY and KEDLI, respectively.

There is a need to balance the Companies' proposals for their gas systems with the impacts of those proposals on customers. Rates should not be considered an unlimited source of funding for the utilities. The Commission must carefully review and evaluate the Companies' proposals, and it must make adjustments to the requests to ensure that the rates charged to customers are fair and reasonable.

The Companies are planning unprecedented capital spending. We trust that most of the projects included in the Companies' capital plans are, on their face, legitimate utility projects. However, we question whether the Companies have the ability and internal resources to properly manage such a large spending plan and ensure that all expenditures are prudent, and proper practices are in place to prevent waste.

In this regard, the recent Order Instituting Proceeding and to Show Cause, issued by the Commission on July 12, 2019 in Case 17-G-0317 ("Show Cause Proceeding"), is particularly troubling. In that Order, the Commission sets forth detailed allegations by DPS Staff of more than 1,600 violations of Commission regulations by the Companies. These violations indicate a lack of proper safety practices and failed supervision, and resulted in a yet-to-be determined sum of unnecessary spending. Although the extent of the damages resulting from the Companies' operations will be determined in Case 17-G-0317, the detailed allegations suggest that a particularly rigorous review of the Companies' projected costs is required here.

Q. WHAT IS THE POTENTIAL IMPACT OF ADDITIONAL SURCHARGES AND INCENTIVES?

A. In addition to the requested rate increases, the Commission cannot ignore or disregard the additional costs that will be borne by customers related to items that are not included in the revenue requirement. According to the Companies' response to City Information Request 67, or CNY-67, approximately $53.2 million in additional surcharges will be collected from gas customers in 2020. In addition to these surcharges, the Companies together are seeking at least $75.1 million in shareholder incentives, inclusive of the maximum possible Earning Adjustment Mechanisms (or EAM) award, per Appendix B of each Company's Corrected and Updated Revenue Requirement Panel testimony. Thus, the potential bill impacts are larger than the amounts the Companies have stated.

Q. WHAT DO YOU RECOMMEND REGARDING CAPITAL EXPENDITURES?

A. With respect to the capital expenditures in these rate cases, unless the total amounts are substantially reduced, the Commission should require that the amounts allowed to be recovered in rates be subject to reconciliation in the event the Companies do not, or cannot, complete all of the projects they identified. Otherwise, the Companies' shareholders would be unfairly enriched, and the imbalance we spoke of earlier would be exacerbated. Additionally, particularly in light of the Show Cause proceeding, the Commission should hold the Companies responsible for all penalties and additional costs incurred to repair or replace equipment that was installed improperly or work that was not completed in accordance with applicable rules and regulations, Company procedures, and/or good utility practice. These positions are detailed further in the City's Infrastructure and Safety Panel testimony.

Q. EARLIER, YOU TESTIFIED THAT THE COMPANY SHOULD BE PERMITTED TO RECEIVE SHAREHOLDER INCENTIVES FOR SUPERIOR PERFORMANCE. PLEASE EXPAND ON THAT STATEMENT.

A. The City recognizes that sometimes rewards may be needed to induce certain behavior. In the case of utilities, shareholder incentives – both positive and negative – have been used to discourage poor performance and encourage the utilities to do tasks they otherwise may not want to do. At the same time, the

Commission has very broad power to order the utilities to take certain actions or refrain from taking other actions. Violations of Commission Orders can result in monetary penalties of hundreds of thousands of dollars or more. In fact, in response to CNY-1, the Companies identify $13.9 million (KEDLI) and $21.2 million (KEDNY) of penalties that are owed to customers and should be returned.

Accordingly, there is no reason to provide shareholder incentives to the Companies related to any action that the Commission requires them to take or not to take, and for which the Companies would be liable for penalties for failure to comply. An example of this is providing safe and adequate service by expeditiously responding to gas leak and odor calls – there is no reason to reward the Company for the timeliness of such actions, which are required pursuant to good utility practice.

On the other hand, for discretionary actions taken by the Companies, the use of shareholder incentives may be appropriate. In such cases, though, the incentives should reward only superior performance, not business-as-usual conduct. The City Energy Efficiency and Gas Infrastructure and Safety Panels address the Companies' proposed incentives in detail.

Q. HOW SHOULD THE COMPANY'S ENERGY EFFICIENCY PERFORMANCE BE MEASURED?

A. The City's Energy Efficiency Panel addresses this topic in detail. We note that the Companies have been administering energy efficiency programs for many years, and arguably have been doing so more aggressively in recent years. There is now

sufficient information available to determine baseline performance levels. Any shareholder incentives should start at levels above baseline performance, and any increases in the incentives should be commensurate with achievements well above the initial levels.

Q. HOW IS THIS PROPOSAL CONSISTENT WITH THE BALANCE YOU HAVE BEEN EMPHASIZING?

A. Reducing gas usage and gas peak demand benefits all customers because it reduces the need for additional infrastructure. That reduced need, coupled with lower demand and usage, should result in lower commodity and delivery prices for customers. For these reasons, coupling shareholder incentives with achieving high levels of energy savings creates a win-win outcome for shareholders and customers. The recent gas moratorium declared by the Companies only highlights the urgent need to accelerate energy efficiency and demand response measures to better manage their gas systems.

Q. WHAT IS THE IMPACT OF THE REQUESTED RATE INCREASES ON LOW INCOME CUSTOMERS?

A. The City's Low Income Panel presents a recently completed analysis of energy cost burdens on New York City residents. The results of this analysis are striking and should be considered in evaluating the Companies' revenue requirements and shareholder incentive requests.

Q. WHAT DID THE ANALYSIS REVEAL?

A. In 2016, the Commission established that New Yorkers should not pay more than six percent of their income on utility expenses. It then adopted parameters for utility low income programs that it believed would achieve this target. At that time, the City raised numerous concerns about the methodology used and the results obtained. Based upon the results of the City's most recent analysis, as discussed in more detail in the City's Low Income Panel testimony, we continue to believe that the methodology is flawed.

The City's analysis reveals that the discounts established by the Commission are not sufficient to reduce the energy cost burden for low income families to six percent or below. In fact, with the current KEDNY and KEDLI discounts, there are more than 220,470 low income families (under 60 percent of the State Median Income) in the KEDNY service territory and the Rockaways portion of the KEDLI service territory whose energy cost burdens exceed six percent of their pre-tax income. The Companies' proposed rate increases, if adopted without any corresponding changes to existing low income discounts, likely will exacerbate these figures. The City's Low Income Panel has several specific recommendations designed to provide additional protections for low income customers.

Q. HOW DOES THE IMPACT ON LOW INCOME CUSTOMERS RELATE TO THE BALANCING OF CUSTOMER AND SHAREHOLDER INTERESTS?

A. KEDNY and KEDLI are proposing budgets of $25.5 million and $5.5 million, respectively, for gas low income programs in the Rate Year. At the same time, they are seeking more than $45 million and $29 million in shareholder incentives, as well as an increase in its allowed return on equity that has a value, based on the Companies' response to CNY-64, of $35.3 million. In other words, the Companies are seeking benefits for their shareholders that are more than three and a half times larger than the assistance they propose to provide to their customers with the lowest income levels. In our view, the benefits sought for shareholders are not in balance with the benefits that may be received by customers.

Q. WHAT ELSE SHOULD THE COMPANIES DO TO HELP THEIR LOW INCOME CUSTOMERS?

A. As discussed by the City's Low Income Panel, KEDNY and KEDLI should provide deeper discounts to these customers to reduce their energy cost burdens. In addition, reconnection fees are particularly burdensome for low income customers, and should be eliminated altogether. Finally, the Companies should adopt certain improvements to their existing file-matching process with the New York City Human Resources Administration, or HRA, to better identify and enroll eligible low income customers into the utilities' low income programs.

Q. HOW DO YOU RECOMMEND THAT THE COMMISSION ACHIEVE A PROPER BALANCE OF INTERESTS?

A. The Commission has the authority to provide a more equitable and appropriate balance and should do so. For example, our Infrastructure and Safety Panel

recommends the immediate return of certain customer credits being held by the Companies. As discussed by the City's Energy Efficiency and Infrastructure and Safety Panels, the size of the shareholder incentives should be materially reduced, and City Witness Lane Kollen is recommending a significant downward adjustment to the Companies' rate requests based on his analysis and rejection of a change to the depreciation methodology proposed by the Companies. Although the City is not submitting testimony on the appropriate return on equity and capital structure, we understand that Staff and possibly other parties will be doing so and will be proposing both a lower return on equity and a lower equity ratio. We hope that the Commission will consider all of these changes to ensure a proper balance is achieved. Finally, we ask that the relief our Low Income Panel seeks for low-income customers is granted.

MAINTAINING A RELIABLE AND RESILIENT GAS DELIVERY SYSTEM

Q. DOES THE CITY HAVE ANY CONCERNS REGARDING THE RESILIENCE OF THE KEDNY AND KEDLI SYSTEMS?

A. After Hurricane Sandy, the City engaged in a comprehensive assessment of the resilience of utility infrastructure. One weakness that was identified in this assessment pertains to the number of KEDNY and KEDLI assets that are located in or adjacent to the existing 2015 Federal Emergency Management Agency 100-year and 500-year floodplains. Inasmuch as these assets are critical to the gas system, the City believes that the Companies should continue to monitor and invest in actions to ensure the resilience of these assets and consider contingency planning

in the event of asset failure. The City's Gas Infrastructure and Safety Panel makes a number of recommendations designed to address these concerns.

Q. PLEASE COMMENT ON THE COMPANIES' RESPONSE TO THE STALLED NESE PROJECT.

A. On May 15, 2019, the New York State Department of Environmental Conservation ("DEC") refused to grant a water certificate needed for the NESE project to proceed. On May 16, 2019, in response to the DEC rejection, the Companies announced that they would not accept applications for new or additional firm gas service, effectively imposing a gas moratorium. On June 5, 2019, the New Jersey Department of Environmental Protection followed suit and denied permits required by the NESE project.

On June 11, 2019, the Companies filed supplemental testimony to address the consequences of the unavailability of the NESE pipeline. The supplemental testimony states that the loss of the NESE project would result in additional increases to the requested KEDNY and KEDLI revenue requirements of $5.7 million and $15.2 million, respectively. Other than quantifying the impact on revenue requirements, the supplemental testimony did not offer any alternative plans that the Companies would pursue if the NESE pipeline is not built. The Companies maintained a similar approach in its C&U Filing filed on July 3, 2019.

Q. DO YOU HAVE CONCERNS WITH HOW THE COMPANIES HAVE ADDRESSED THE NESE PIPELINE?

A. Yes, very much so. The New York and New Jersey approvals sought by the NESE pipeline sponsors were highlighted as controversial for some time before they were denied. Thus, simply assuming that the approvals would be granted, and not developing alternative plans to address how to continue to provide incremental service to existing and new customers, was and continues to be imprudent. Yet, this appears to be what the Companies have done, and, based on the responses to CNY-118, continue to do.

Q. DOES THE PANEL HAVE ANY ADDITIONAL COMMENTS ON THE COMPANIES' RESPONSES TO THE NESE PROJECT?

A. We believe the Companies should have included alternative plans to the NESE project in their initial rate filing on April 30, 2019, and certainly in either their supplemental or C&U Filing testimony. Imposing a gas moratorium and remaining "cautiously optimistic" about New York and New Jersey regulators reversing their decisions, as the Companies have stated, is not adequate planning.

Q. WHAT SHOULD THE COMMISSION DO?

A. The Commission should require the Companies to develop and file testimony addressing how they will operate their systems, without a moratorium, if the NESE project is not approved. For example, in response to growing demands that led to a moratorium, Con Edison announced that it reached an agreement with Tennessee Gas Pipeline to upgrade compressor stations to provide increased gas capacity to its system. The Companies have not identified any such alternatives, and the

Commission needs to require them to find ways to operate their systems so that they can provide adequate service.

In our testimony and the testimony of other City panels, we highlight alternative demand side programs, such as increased energy efficiency and demand response programs, which could provide load relief for the Companies' system. In short, the Commission should require the Companies to do what they should have done already – provide a combination of supply and demand side measures that meet their customers' needs without solely relying on the NESE project. Viable programs should be funded robustly in order to relieve what is currently a wholly untenable situation. For example, in response to the Con Edison gas moratorium in Westchester County, the Commission, the New York Power Authority, and the New York State Energy Research & Development Authority announced a $250 million Clean Energy Action Plan that included, among other things, $165 million in grants to deploy heat pumps and increase energy efficiency programs. The City would expect an Action Plan in response to the National Grid moratorium in proportion to the scale of the issue affecting National Grid's New York City service territory.

In addition, the Commission should ensure that parties are given a proper and fair opportunity to review, question, analyze, and respond to the Companies' plans showing alternatives when they are filed. To the extent that the timeline for resolution of the gas rate case needs to be extended to allow for this process, the Commission should either ask the Companies to extend the suspension period or

adopt temporary rates so that no portion of the Companies' gas rates are finalized until all aspects of their requests can be properly reviewed.

Q. DO YOU HAVE SPECIFIC CONCERNS ABOUT THE MORATORIUM ITSELF?

A. Yes. It has come to our attention that the Companies' implementation of the moratorium may be unfair to customers. The City recently learned that National Grid has established rigid deadlines for homeowners, building owners, and developers who applied for gas service prior to May 15, 2019 (and whose applications were deemed complete by that date). However, National Grid does not appear to be advising its existing customers and prospective customers of these deadlines. Specifically, for applicants seeking to convert from oil to natural gas, their buildings must be ready to accept gas service and utilize natural gas by November 15, 2019. For applicants seeking gas service for new homes and buildings, the construction must be complete and the premises must be ready to accept gas service and utilize natural gas by May 15, 2020. It appears that National Grid is not publicizing these deadlines.

The homeowners, building owners, and developers who submitted complete gas applications prior to May 15, 2019 have a reasonable basis to believe that they will receive gas service for their homes and buildings. It would be unjust and unfair for National Grid to subsequently deny customer requests for gas connections for failure to meet deadlines of which they are unaware. Notably, Governor Cuomo issued a letter on August 27, 2019, expressing concerns about National Grid's

implementation of the moratorium and directing the Commission to expand its investigation of the moratorium to determine whether allegations of National Grid unfairly delaying or denying service are accurate and, if so, to take appropriate remedial actions.

Q. WHAT SHOULD THE COMMISSION DO WITH RESPECT TO THE MORATORIUM?

A. The Commission should have DPS Staff investigate the underlying causes of the moratorium and determine whether it could have been averted with proper planning. In addition, the Commission should require that the Companies immediately provide notice to customers of how the moratorium is being implemented and the deadlines associated with the moratorium. That effort should include directly notifying each applicant and providing public notice of the deadlines via social media, ads in the New York City daily newspapers, contacts to trade groups and similar organizations, and other means as appropriate. Moreover, the Commission should evaluate the deadlines National Grid has asserted, and consider if there are later, viable deadlines that would provide flexibility for projects already under construction. Finally, the Commission should investigate whether the moratorium is being implemented equitably in order to ensure that customers are being treated fairly and without prejudice.

Q. WHAT ACTIONS SHOULD THE COMPANIES UNDERTAKE WITH RESPECT TO STRANDED COSTS?

A. Given the goals of deep decarbonization and the clean energy transition, the composition of utility infrastructure will change over time. In particular, the need for the Companies' extensive gas infrastructure may diminish. At present, KEDNY and KEDLI are planning to spend approximately $2.3 billion over the next four years to replace leak-prone pipe. As the demand for gas diminishes, the propriety of these investments will need to be re-examined. As for the investments already made and/or being made over the prospective term of this rate case, there is a potential for some to become stranded. We recommend that the Companies, in coordination with interested parties, begin to examine the risk of stranded assets and conduct research and analysis into opportunities to mitigate those risks.

Q. DOES THE CITY HAVE ANY ADDITIONAL COMMENTS ON THE POTENTIAL STRANDED ASSET RISK?

A. There could be a unique opportunity to address a subset of potential stranded asset concerns regarding ongoing leak-prone pipe replacement while advancing the City's and State's beneficial electrification goals. We recommend that the Companies conduct a feasibility study that includes the following elements:

- Identification of neighborhoods with high-concentrations of leak-prone pipe that need to be replaced;
- An assessment of whether it is technically feasible to not replace the leak-prone pipe in certain neighborhoods without affecting other customers, such as at the end of pipeline segments or at the edges of the Company's gas service territory;

- An assessment of the technical feasibility of deploying district energy systems, such as a shared geothermal ground source heat pump system, that could be used to provide heating and cooling needs and domestic hot water for those buildings within identified neighborhoods; this assessment should consider the feasibility of different types of geothermal (e.g., standing column well systems, closed and open loop systems) and other types of district systems to determine best fit (e.g., low carbon high / low-temperature hot water and /or steam loops). The City proposes that such an assessment be conducted in phases, as follows:
  a. Phase One – Retain a consultant to complete a high-level Desktop Study on the feasibility of deploying district energy systems in the Companies' service territories, leveraging existing studies and data. The Desktop Study should align district energy deployment with leak-prone pipe removal to increase financial feasibility and avoid stranded assets;
  b. Phase Two – Based upon the initial Desktop Study, identify ten to twenty sites that indicate high potential and/or represent unique use cases and complete a detailed assessment of those sites to supplement the Phase One Desktop Study, including an assessment of local site characteristics, customer interest, detailed load data, financial feasibility, and more detailed design (with the goal of ranking the sites based on benefits, costs, and feasibility);

c. Phase Three – Conduct a Pilot at several high potential sites, which would be selected to maximize the potential for success and replicability. To the extent possible, the different Pilot sites should test different use cases, and should include the deployment and operation of the geothermal district or another type of district system based upon the assessments in Phases I and II, as well as the establishment of a viable regulatory, ownership, and governance structure; and

d. Phase Four – Assess the scalability of the Pilot to additional locations. As part of this Phase, the consultant should identify what interventions and/or regulatory changes are needed to lead to greater adoption of district systems, as well as the projected benefits and costs of expanding the Pilot.

- Consideration of a regulatory model in which the avoided costs of the leak-prone pipe replacements in the selected neighborhoods can be used to offset the capital costs of a district energy system.

We also recommend that the performance of the feasibility study be preceded by a scoping discussion with interested parties to develop specific details for both the study contents and the manner in which the study is performed.

Q. WHAT OTHER ISSUES SHOULD BE CONSIDERED IF THE FEASIBILITY STUDY CONCLUDES THAT A DISTRICT ENERGY SYSTEM IS VIABLE?

A. There would be a need to examine strategies to incentivize customer behavior to choose a district energy system over other alternatives. This may include providing incentives to support purchases of customer-side equipment and customer interconnection costs. Another issue would be identifying strategies and incentives to encourage every customer on a block to voluntarily convert at the same time in order to eliminate the need for the gas mains. Another key question to be evaluated is whether the total costs of the district energy system would be less than the cost of the leak-prone pipe replacement. As part of this, there could also be value in examining existing depreciation practices for new pipe installed and whether these should be modified to better align with City and State policy goals, including the CLCPA, as this could impact the cost comparison noted above.

Q. IS THIS CONCEPT BEING EXAMINED ELSEWHERE?

A. Yes. A similar evaluation is underway in Massachusetts by the non-profit Home Energy Efficiency Team, which has worked with Massachusetts gas utilities to identify existing leaks on the gas system and is now working with an engineering firm to conduct a GeoMicroDistrict Feasibility Study. That study will explore the potential of replacing natural gas infrastructure with a network of neighborhood-scale district heating systems. Specifically, the study is examining the engineering and economic feasibility and technical potential for implementing and scaling neighborhood-scale thermal energy technologies, and the costs and benefits to both utilities and ratepayers of implementing those systems instead of repairing and replacing existing natural gas infrastructure. In addition, the City is aware of

National Grid's own experience with implementing a shared geothermal pilot in Long Island. There may be learnings from that project that are applicable here.

Q. HOW COULD SUCH A STUDY HELP INFORM THE EFFORTS TO MEET NEW YORK STATE'S AND NEW YORK CITY'S PUBLIC POLICY GOALS?

A. Alternatives such as district energy systems, particularly geothermal district systems, can help the City and State meet long-term decarbonization goals, of which decarbonized heating is a very important and challenging component. Similarly, in addition to looking at renewable gas and alternative low-carbon fuels, there is an ongoing need to evaluate and explore what role gas utilities can play to support this clean energy transition. The use of district energy systems could help reduce a subset of stranded asset risks associated with the new gas infrastructure investments contemplated by the Companies.

Q. ARE THERE ANY CITY RESOURCES THAT COULD SUPPORT SUCH A FEASIBILITY ASSESSMENT?

A. Yes, since 2015, the City has issued one report and promoted two tools to help assess the technical feasibility of building-based geothermal systems and district geothermal systems. Specifically, the City in 2015 published *Geothermal Systems and their Application in New York City*. In 2016, the City assessed the technical feasibility of geothermal systems at the block level for the Roadmap to 80x50 as part of its community energy mapping process. The City is in the process of turning this into an interactive publicly accessible mapping tool. In 2018, the City launched

a Geothermal Pre-feasibility Tool to identify where geothermal heat pump systems may be an option for retrofitting building heating and cooling systems, including an estimated payback period. This tool allows one to search by address to determine the suitability of the location to different geothermal systems, potential capacity, and potential projected payback period.

THE NEED FOR INCREASED ENERGY EFFICIENCY AND DEMAND RESPONSE EFFORTS

Q. HOW SHOULD THE COMPANIES RESPOND TO THE GAS SUPPLY PROBLEMS THAT PROMPTED THEIR MORATORIUMS?

A. The Companies should place more emphasis on gas energy efficiency and demand response as well as move forward with their plans to support renewable gas production. As noted earlier, given the DEC's decision to deny Water Quality Certification for the NESE project, it is critical for existing gas customers to immediately use gas as efficiently as possible to ensure that sufficient gas supplies are available during peak periods. In addition, the Companies should increase their demand response efforts to manage their systems more efficiently. Also, it is critical for the Companies to move forward with alternate sources of gas supply, such as renewable gas. Because new upstream pipelines are not likely to be viable, localized production will become more important to fill the gap between the Companies available gas supplies and projected need. Finally, as noted earlier, as it did in response to the Con Edison moratorium affecting Westchester County, we expect that the State will develop an Action Plan in response to the National Grid

moratorium in proportion to the scale of the issue affecting National Grid's New York City service territory.

Q. WHAT SPECIFIC ENERGY EFFICIENCY MEASURES IS THE CITY RECOMMENDING?

A. The City's Energy Efficiency Panel justifies and recommends a number of measures, including but not limited to:

- Incremental energy efficiency target savings should be increased for both KEDNY and KEDLI, based on the lower per-unit costs for energy efficiency savings that have been achieved in the last two years.
- The Companies should test the concept of providing upfront energy efficiency funding for certain multifamily energy efficiency program offerings.
- Energy efficiency program offerings should be designed to incentivize customers to pursue comprehensive packages of energy efficiency measures (*i.e.*, allow stacking of incentives if several measures are pursued at once).
- Incentives should accommodate comprehensive upgrades that occur in stages, or over a longer period of time, rather than all at once.
- The PSC should establish a collaborative or other process to explore future improvements to the Companies' energy efficiency plans and programs.
- The Companies should provide additional reporting on energy efficiency programs, expenditures, savings, etc.

- There needs to be greater coordination and collaboration between the Companies' energy efficiency programs and the NYC Retrofit Accelerator.
- The Companies' demand response targets should be increased.
- The Companies should increase their efforts to transition their fleet to run on EVs or renewable natural gas.

The Panel also raises a number of concerns regarding EAMs proposed by the Companies to reward their shareholders, namely:

- National Grid's proposed EAMs reward business-as-usual performance, not exceptional performance.
- The proposed EAMs are excessive, both in absolute dollar values and relative to the benefits that customers could receive.
- Many of the proposed EAMs are duplicative of other proposed EAMs or would reward National Grid for occurrences outside their control.

Q. WHAT SHOULD THE COMPANIES DO FROM AN INFORMATION TECHNOLOGY PERSPECTIVE?

A. As the Companies continue to overhaul their information technology systems, including those that are internal as well as customer facing, they should include features and capture data that can support the implementation and tracking of City and State policy goals.

Q. PLEASE DESCRIBE THE FEATURES AND TYPES OF CUSTOMER DATA THAT THE COMPANIES SHOULD INCLUDE IN THEIR SYSTEMS DESIGNS.

A. For the purposes of tracking progress toward meeting broader City and State energy policy goals, we recommend the Companies' information systems include the ability to collect data on:

- The effectiveness of energy efficiency and demand response efforts in managing the gas system;
- Details regarding incentives provided to customers, including measures undertaken, costs of measures, and projected and realized savings; and
- Production, cost and gas quality data associated with any renewable gas projects providing gas to KEDNY and KEDLI, as well as any monetization of Renewable Identification Numbers credits under the federal Renewable Fuels Standard

Q. DO YOU HAVE ANY ADDITIONAL COMMENTS ON THE COMPANIES DATA COLLECTION ACTIVITIES?

A. Yes. We would like to provide some context in which we offer recommendations regarding the data the Companies may collect. The City is committed to protecting the privacy of its residents and visitors so that individuals may access services with confidence, knowing that their personal information will be appropriately and responsibly protected. This is especially important given the rapid advances in technology and the growing volume of virtual data transactions involving such information today. In furtherance of this commitment, the City has established a comprehensive information privacy and security framework, including the *Citywide Privacy Protection Policies and Protocols*, or Policies and Protocols,

which were formally adopted and took effect on January 28, 2019. While the Policies and Protocols govern actions by City agencies and their human services contractors and subcontractors, the City would apply the same standards to safeguarding the data it may seek from the Companies now and in the future.

Moreover, the City believes that these principles, policies, and protocols are worthy of consideration by the Commission as best practices as it considers the City's requests for access to certain utility data in these rate cases and in the broader data access proceedings that are pending before it. Accordingly, we provide the Policies and Protocols with our testimony as Exhibit__(NYCPP-4). This document was issued by the City's Chief Privacy Officer, who heads the Mayor's Office of Information Privacy, with input from the City's Law Department, DoITT, the New York City Cyber Command, Office of Counsel to the Mayor, and the Mayor's Office of the Chief Technology Officer, among others with relevant expertise.

IMPROVEMENTS TO COMMUNICATION AND COORDINATION BETWEEN THE COMPANIES AND NEW YORK CITY AGENCIES

Q. CAN YOU DISCUSS THE NATURE AND EXTENT OF THE INTERACTIONS BETWEEN THE CITY AND THE COMPANIES?

A. The City has ongoing interactions with the Companies on a regular basis across a range of topics, and the Companies require interactions with multiple City agencies many times a day. For example, as discussed above, the Companies work with HRA to ensure that eligible customers are enrolled in the Company's low income programs, and they work nearly daily with HRA to ensure continuation of electric

and/or gas service to low income customers. The Companies must secure permits from the Department of Transportation, or DOT, before performing work on City streets. The Companies must coordinate with the Department of Environmental Protection, or DEP, and DDC, on City infrastructure projects for which the Companies must relocate or protect its utility facilities.

For building-related projects, the Companies may need approvals from the City Planning Commission and/or Department of Buildings. The Companies' provision of utility services to City buildings and facilities entails frequent interactions with the Department of Citywide Administrative Services. Our last example is the frequent discussions between the Companies and the Mayor's Office on a large variety of policy, regulatory, and operational topics. These are just some examples of the extensive interactions that occur.

Q. HAVE YOU HAD DISCUSSIONS WITH CITY AGENCIES REGARDING THEIR INTERACTIONS WITH THE COMPANIES?

A. Yes. In the context of preparing for these rate cases, we have met with many City agencies.

Q. WERE THERE ANY COMMON THEMES IN THE INFORMATION PROVIDED BY THE AGENCIES?

A. Yes. The most prevalent theme was the need for improved communications between the Companies and the agencies, and the need for better coordination of KEDNY and KEDLI projects. Many agencies reported a lack of responsiveness to questions and requests posed by City agencies, inadequate or untimely provision of

information by the Companies to the agencies, and insufficient communication and coordination with regard to overlapping City and utility projects.

Q. WHAT PERCENTAGE OF GAS OPERATIONS BUDGETS COMPRISE CITY/STATE CONSTRUCTION WORK?

A. Based on information provided in the Companies' pre-filed Testimony, a substantial portion of the budgets are dedicated to CSC work; approximately 32% of KEDNY's budget is dedicated to CSC work, for example. As explained below, some of that work is subject to cost sharing with the City.

Q. WHY SHOULD THE COMMISSION INTERCEDE INTO THIS MATTER?

A. These communication problems lead to inefficiencies, and inefficiencies lead to higher utility costs (and higher costs to the City), resulting in upward pressure on rates. The Commission should intercede to help moderate the rate increases sought by the Companies now and in the future. Additionally, as set forth below, the Companies' actions have led to significant delays in the completion of City infrastructure projects, unnecessarily extending disruptions to local residents and businesses and increasing costs borne by City taxpayers.

Q. CAN YOU PROVIDE AN EXAMPLE OF WHERE IMPROVED COMMUNICATIONS COULD HAVE AVOIDED PROBLEMS?

A. Yes. There currently is a backlog in the City's reimbursement of the Companies for CSC projects. The backlog is due in large part to National Grid's failure to submit timely invoices for work performed in 2015-2017. Specifically, National Grid did not submit these invoices to the City until 2017. The City is diligently

processing these historical invoices in an effort to eliminate the backlog, and we have developed a protocol with National Grid to allow for expedited invoice processing (one invoice per week, versus standard processing timeframe of one per month). Nevertheless, if we had a better communications protocol in place in 2015, the backlog would not have developed as it did. The City now meets bi-weekly with National Grid to address invoicing issues and to request supporting documentation to allow for the expedited review.

Q. CAN YOU EXPLAIN THE AUDIT PROCESS FOR CSC REIMBURSABLE EXPENSES?

A. Yes. DEP's audit process is very thorough and can result in longer processing times. However, the process is necessary given that we have found instances in the past where claimed work is not subject to cost sharing, and/or DEP cannot verify that certain work is reimbursable based on the documents provided by National Grid. We have taken steps to improve the processing time, including implementing a "pre-audit" review process with National Grid whereby DEP identifies potential issues and requests more upfront information to support the claimed reimbursement, before the request reaches the formal audit process.

Q. DO YOU HAVE ANY COMMENT ON NATIONAL GRID'S FORECAST OF REIMBURSABLE EXPENSES?

A. Yes. It appears that National Grid's forecast is much higher than the historical average. Per National Grid's response to DPS-84, both Companies spent a combined average of $45.3 million per year on reimbursable CSC work from 2014-

2018. Over the next four years (the Rate Year and all three Data Years), National Grid is projecting an average of $164.1 million/year in reimbursable CSC work. DEP has no way of verifying National Grid's projections.

Q. CAN YOU PROVIDE OTHER EXAMPLES OF THE NEED FOR IMPROVED COMMUNICATIONS?

A. Yes. National Grid delayed the City's reconstruction of Flushing Avenue by 20 months, leading to extended disruptions to the local community, while putting the opening date for a major new grocery business at risk. The cause of the delay was National Grid's schedule for performing test pits and pre-engineering for relocation and support and protection of their facilities. Other notable examples include delays that have occurred at major City infrastructure improvement projects in DUMBO/Vinegar Hill (3 months); on Atlantic Avenue (3 ½ months) and at Coney Island (ongoing 8 month delay). These delays are generally attributable to National Grid not starting work in a timely manner.

Q. PLEASE DISCUSS THE PROBLEMS THAT HAVE ARISEN ON CITY INFRASTRUCTURE PROJECTS BECAUSE OF DELAYS BY THE COMPANIES.

A. As brief background, DDC is the primary construction project manager for the City's in-street infrastructure projects. DDC manages the capital projects undertaken by DEP related to the water and sewer systems, and by DOT related to reconstruction of roadways, sidewalks, and public plazas. Given its role, DDC is

substantially involved in coordinating City infrastructure projects with the City's utilities.

At the outset of a City infrastructure project, DDC sends a 10-day notification letter to the Companies requesting that they provide the expected amount of time it will take to protect or relocate their facilities so that they are not damaged during construction. DDC consistently has challenges getting timely responses on whether National Grid has facilities that conflict with City-planned projects, how National Grid plans to accommodate our projects, and the timeline for supporting and protecting National Grid facilities. Further, National Grid has challenges completing their relocation and protection work within committed timelines due to a limited contractor pool that is certified to do this work.

Q. APPROXIMATELY HOW MANY WORK REQUESTS DOES DDC SUBMIT ANNUALLY TO THE COMPANIES?

A. DDC completes over 90 infrastructure projects each year. The number of work requests provided to the Companies varies by project; there could be as few as one or two requests or 10 or more requests.

Q. HAS DDC ENCOUNTERED ANY PROBLEMS WITH THESE WORK REQUESTS?

A. Yes.

Q. PLEASE DESCRIBE THE PROBLEMS ENCOUNTERED.

A. Coordination, in particular, has been a significant problem. Other problems relate to unexpected design changes made by the Companies and a lack of timely design

and construction responses. On occasion, problems have arisen because of delays by the Companies in retaining contractors to perform the utility protection and relocation work.

Q. APPROXIMATELY HOW LONG DOES IT TAKE THE COMPANIES TO PROCESS DDC WORK REQUESTS?

A. For a typical project, it can take anywhere from three months to a year for the Companies to complete their protection and relocation work. We would note that the time frames vary substantially depending on the size and complexity of each project.

Q. TURNING TO THE COORDINATION ISSUE, HOW DOES DDC RECEIVE NOTIFICATION THAT A REQUEST HAS BEEN PROCESSED BY THE COMPANIES?

A. DDC receives notification from the Public Improvement division of the Companies. The notification letter specifies the time period in which the Companies will complete their work on a project.

Q. DO THE COMPANIES GENERALLY COMPLETE THEIR WORK WITHIN THE STATED TIME FRAMES?

A. Generally, yes. If unforeseen conditions are found during construction, however, the Companies' work can take longer than projected. Recently, DDC has shared updated protocols with National Grid that require the Companies to provide a draft relocation schedule within 90 days after receipt of DDC Mass Mailing #1, or 40 percent design. DDC alerts designated National Grid staff by email and makes

Mass Mailing #1 available through *DDC Anywhere*, an online portal that houses all relevant project design and construction documentation. The Companies also are required to provide an updated final schedule indicating projected completion of utility relocation work within 10 days after receipt of DDC Mass Mailing #2, or 80 percent design. DDC also reserves the right to request schedule updates if there are changes to the expected phasing or completion date.

The schedule submission should include major milestones and phasing information including utility relocation start and finish, both for the overall project area and by street segment. Further, traffic stipulations for relocation work should be provided. This schedule will be used to coordinate relocation efforts and to assist in expediting relocation work.

Q. HAS THE PANEL IDENTIFIED ANY SPECIFIC ISSUES THAT APPEAR TO BE CAUSING DELAYS IN THE COMPANIES' COMPLETION OF PROJECTS IN A TIMELY MANNER?

A. In some cases, the Companies take longer than expected to complete their protection and relocation work. For Gas Cost Sharing projects in particular, National Grid must complete their relocation work in advance of the City commencing its capital projects. Any delay by National Grid has a deleterious cascade effect on dependent projects.

Q. PLEASE DESCRIBE THOSE ISSUES.

A. Significant delays can be caused by inaccurate as-built drawings provided by the Companies, and the discovery of utility facilities within a public right-of-way that

are not shown on any drawings or maps. When such facilities are encountered, the Companies must redesign or reengineer their plans, and they may need to secure additional contractors and/or equipment because of the expanded effort required.

Q. WHAT IS THE EFFECT OF THESE DELAYS ON THE OVERALL PROJECTS?

A. Delays mean additional time and additional costs. Projects take longer than anticipated, which inconveniences the public. Longer timeframes also can translate to higher costs. In this case, higher costs are likely for both Companies' protection and relocation work and for the overall City project – in our view, with better information and better communications and coordination, these delays and incremental costs can be avoided.

Q. WHAT RELIEF IS THE CITY SEEKING FROM THE COMMISSION?

A. The Commission should require the Companies to dedicate executive-level personnel to coordinate with City agencies, and it also should require that processes be put in place for the expeditious provision of information and resolution of disputes. Presently, the Companies have identified a few mid-level or higher personnel who some City officials can call for assistance in resolving discrete issues. The assistance provided by these individuals has been appreciated, but a much more robust, executive-level communications protocol would benefit ratepayers and City taxpayers.

Q. DOES THE PANEL BELIEVE THAT IT WOULD BE USEFUL FOR THE COMPANIES TO HAVE EMPLOYEES SPECIFICALLY ASSIGNED TO THIS MATTER?

A. Yes. Having a dedicated executive point of contact at the Companies to escalate and expedite matters related to City infrastructure projects would improve coordination between the City and the Companies and presumably reduce the number of problems and allow more expeditious resolution of problems that do arise – along with the cost savings resulting from such resolutions.

Q. DO YOU HAVE ANY ADDITIONAL RECOMMENDATIONS REGARDING THIS MATTER?

A. Yes. The Commission should require the Companies to file quarterly or more frequent reports regarding the status of pending City requests so that the Companies' performance can be objectively tracked over time. For example, the Companies could be directed to submit regular reports to DPS Staff on their compliance with submitting the schedules in response to DDC Mass Mailings ##1 and 2, and also track their ability to meet the dates set forth in the schedules, or explain why there is a failure to satisfy those dates. Where extensive delays or inaction are revealed, the Commission can take appropriate action to rectify the problems. The goal would be to reduce unnecessary delays, and associated costs for ratepayers and taxpayers, to the greatest extent possible.

Q. SHOULD THERE BE ANY CONSEQUENCES TIED TO THESE REPORTS?

A. Not at this time. However, if the reports demonstrate a lack of improvement or the existence of recurring problems, there could be a need to impose consequences in the future. If so, these reports could serve as a baseline to measure future performance and set reasonable performance targets.

SUMMARY OF OTHER CITY TESTIMONY

Q. PLEASE PROVIDE A BRIEF OVERVIEW OF THE OTHER TESTIMONY BEING SUBMITTED BY THE CITY.

A. The City is submitting five additional pieces of testimony addressing the following topics:

- The Low Income Panel is addressing the need for changes to the low income programs in order to move closer to achieving the Commission's goal that no utility customer should have an energy cost burden in excess of six percent of that customer's income, as well as elimination of reconnection fees, and improvements to the HRA file matching process.
- The Energy Efficiency Panel is advocating improvements to the Companies' energy efficiency and demand response plans, and highlighting the need for more reasonable shareholder incentives.
- The Infrastructure and Safety Panel is addressing the Companies' proposals for gas capital projects and operations and maintenance activities, as well as the shareholder incentives proposals related to such projects and activities. The Panel also recommends a series of storm hardening-related initiatives based upon the National Grid Storm Hardening Collaborative

that came out of the Companies' 2016 rate cases. The Panel also addresses gas safety and emergency management issues.

- The Rate Design Panel is addressing revenue allocation and rate design issues, including recommendations on how to expand and improve Non-firm service, and highlighting the need for improved communication on billing matters.
- Lane Kollen is addressing the Companies' proposals to accelerate the depreciation of leak prone pipe.

Q. DOES THIS CONCLUDE YOUR TESTIMONY?

A. Yes.